

K.C. Ninan v. Kerala State Electricity Board & Ors.

Supreme Court of India · Three-Judge Bench · 19 May 2023 · (2023) SC (Civil Appeal Nos. 2109-2110/2004 and connected) · Civil Appeal Nos. 2109-2110 of 2004 (and connected appeals) · **Appeals allowed / disposed of / dismissed as tabulated (arrears recoverable from new owner where the Code so provides; interest waived under Article 142)**

HEADNOTE

The duty to supply electricity under Section 43 of the Electricity Act, 2003 is not absolute; it is with respect to the owner or occupier of particular premises (a consumer-premises synergy), and an application for the same premises for which supply was earlier given is a 'reconnection', while different premises make it a fresh connection even for the same consumer. A condition of supply requiring a new owner to clear the previous owner's electricity arrears has a statutory character; the regulatory power under Section 50 (and the rule-making power under Section 181 read with Section 50) is wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge even absent a charge provision in the plenary statute. The power to recover arrears by suit is independent of the power to disconnect under Section 56; and 'as is where is' puts every auction-bidder on notice of dues including electricity dues (with outstanding interest waived here under Article 142).

HOLDING-UNITS

INTERPLAY · ARREARS::transferee-liability

Supply Code can create a statutory charge for a previous owner's arrears recoverable from a new owner (apex authority)

QUESTION

Can a new/subsequent owner (including an auction-purchaser) be required to clear the previous owner's electricity arrears as a condition of supply, and can the Supply Code create such a statutory charge?

HOLDING

Yes. A condition of supply requiring the new owner to clear the previous owner's arrears has a statutory character (s.49, 1948 Act); the State Commission's regulatory power under s.50, and the rule-making power under s.181 read with s.50, are wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge even where the plenary statute does not; such Supply Code recoupment has a reasonable nexus with the objects of the 2003 Act. The power to recover by suit is independent of the disconnection power under s.56; and 'as is where is' puts an auction-purchaser on notice of electricity dues. Outstanding interest from the date of application was waived under Article 142. ¶ summary conclusions (a)-(j) of the reportable judgment

LIMITING FACTS

A batch of appeals concerning auction-purchasers/new owners of premises with unpaid electricity dues of previous owners; the appeals were allowed/disposed of/dissmissed as tabulated by the Court.

FLAG This record is drawn from the operative order and the Court's summarized conclusions (a)-(j); the full reasoning and authorities are in the signed reportable judgment. This is the apex authority confirming the arrears/transferee line (cf. SCJ-031 Haryana SEB; applied in SCJ-005 Amir Ahmad).

INTERPLAY · EA2003::43

Duty to supply is not absolute; consumer-premises synergy; reconnection = same premises

HOLDING

The duty to supply under s.43 is not absolute and is subject to charges/compliances stipulated by the utility; it is owed to the owner or occupier of particular premises, and one becomes a 'consumer' only for those premises. An application for the same premises for which supply was earlier provided is a 'reconnection'; different premises make it a fresh connection even if the consumer is the same. ¶ summary conclusions (a)-(c)

INTERPLAY · EA2003::56

HOLDING

The power to initiate recovery proceedings by filing a suit against a defaulting consumer is independent of the power to disconnect supply as a means of recovery under Section 56. ¶ [summary conclusion \(h\)](#)

PRINCIPLE TAGS

arrears-run-with-the-premises Apex authority: the Supply Code (under s.50/s.181) can create a statutory charge for a previous owner's arrears recoverable from a new/subsequent owner; a condition requiring a new owner to clear such arrears is statutory and valid (confirming and extending Haryana SEB v. Hanuman Rice Mills). ¶ [summary conclusions \(d\)-\(g\), \(i\)](#)

SCJ-037 · K.C. Ninan v. Kerala State Electricity Board & Ors. · (2023) SC (Civil Appeal Nos. 2109-2110/2004 and connected) · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.